Functions of Statistics

- Statistics presents facts in a definite form.
- It simplifies mass of figures.
- It facilitates comparison.
- It helps in formulating and testing.
- It helps in prediction.
- It helps in the formulation of suitable policies.

12.5 Nature of Statistics

Different Statisticians and Economists differ in views about the nature of statistics, some call it a science and some say it is an art.

Tipett on the other hand considers Statistics both as a science as well as an art.

12.6 Scope of Statistics

Statistics is applied in every sphere of human activity – social as well as physical – like Biology, Commerce, Education, Planning, Business Management, Information Technology, etc.

Statistics and Economics

Statistical data and techniques are immensely useful in solving many economic problems such as fluctuation in wages, prices, production, distribution of income and wealth and so on.

Statistics and Firms

Statistics is widely used in many firms to find whether the product is conforming to specifications or not.

Statistics and Commerce

Statistics are life blood of successful commerce. Market survey plays an important role to exhibit the present conditions and to forecast the likely changes in future.

Statistics and Education

Statistics is necessary for the formulation of policies to start new courses, according to the changing environment. There are many educational institutions owned by the Govt and the private individuals engaged in research and development work to test the past knowledge and evolve new knowledge. These are possible only through statistics.

Statistics and Planning:

Statistics is indispensable in planning. In the modern world, which can be termed as the "world of planning", almost all the organisations in the government are seeking the help of planning for efficient working, for the formulation of policy decisions and execution of the same. In order to achieve the above goals, various advanced statistical techniques are used for processing, analyzing and interpreting data. In India, statistics play an important role in planning, both at the central and state government levels, but the quality of data is highly unscientific.

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